

Winding Tree

What is open-source and why is it transformative in travel?



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Open source is a powerful driver of digital transformation. It can unleash a wave of innovation built around shared technology that transforms industries in ways that benefit all stakeholders — including for-profit enterprises. That transformative power is why we built the Winding Tree platform to be open-source for anyone to build on.

We spoke at length about the power of open-source during our [recent Phocuswire webinar](#). It was one of the most common questions and so we wanted to do a bit of a deep dive on the blog. As you consider leveraging open-source technology in your travel business, here's what you need to know.

Open source vs closed source

Open source refers to anything that is shared publicly without expectation of compensation. This could be a codebase, a blueprint, a photograph, a 3D printer file, or any other type of asset that's often commercialized.

In the open-source model, the community freely shares and contributes, allowing everyone to benefit from the knowledge and work of others. This community-based approach empowers creators, allowing them to get projects done more quickly and more cheaply but otherwise would have been the case with commercial options.

On the other end of the spectrum is closed source. This is where a person or entity holds proprietary intellectual property in a closed ecosystem that can only be accessed with permission — and often payment. In a closed-source model, there's a trade-off between cost and customization, as well as speed and security. You'll have to pay for access but you'll also get help building a product customized to your specs. It also may require a longer project timeline but the product may be more secure and reliable.

As far as business models, open-source projects are generally offered free of charge by individuals or by entities organized as nonprofits. These entities are usually supported by volunteers and contributors, with overhead expenses covered by three income streams: donations from individuals (and sometimes corporations), consulting on custom implementations, and selling their own products and services built on the technology.

Note that open-source isn't the same thing as freemium, which is a closed source model with a free tier that requires payment past a certain rate of usage or feature set.

Misgivings around open-source

Often perceived as a “geeks-only” club, some find the entire “open-source” concept unapproachable. This makes sense because the open-source movement has traditionally been championed by technologists and highly-

technical practitioners. Even as open-source went mainstream, and began to power much of our digital lives, it still seems nerdy, complicated, and hard to understand.

Others are threatened by open-source's potential to disrupt existing business models by offering a “free” alternative to paid products. “Free” is in quotation marks because access to the underlying code, content, or technology doesn't mean that you get a functional product or a viable business model. You still need to build something that people want — and that they will pay for. Hard work and business fundamentals still apply!

Top examples of open-source

One of the main misgivings around open-source: that it “replaces” existing business models or “gives away the secret sauce” for free. The opposite is often true: Open source is additive and creates a bigger pie for everybody by fostering innovations in new and unexpected ways. These innovations are impossible to predict and can spawn new lines of business and even entire industries.

There are many examples that show the flexibility and power of the open-source model. Here are a few of the best examples of how open-source can unleash innovation and build entirely new ecosystems, while still providing economic opportunity to both the creators and users of open-source projects.

- [Linux](#). Initially released publicly by Linus Torvalds in 1991, Linux attracted a fervent base of supporters and became ubiquitous. Today, Linux is the operating system for many of the world's servers. In a major show of major businesses built off open-source, [Red Hat](#) (which based its own operating system on Linux) was sold to IBM for a record \$34 billion in 2018. Clearly, open-source can fuel value creation far beyond the sum of its parts.
- [Wordpress.org](#). WordPress is another fantastic example of how open-source can create major ecosystems. WordPress underpins [35% of the](#)

internet. Many of those sites generate revenue for their owners — and for third-party developers, designers, and writers. WordPress has not only unlocked tremendous value for others; it's also enriched founder Matt Mullenweg, who built a massive for-profit enterprise selling tools and services to the WordPress community.

- Creative Commons. As a framework for sharing creative content, it allows creators to share their work with others according to specific usage parameters. For example, a CC license may allow anyone to remix content non-commercially, require attribution back to the creator or use a work for commercial purposes.
- Ruby on Rails. This open-source project was created to help developers build more modern web applications. Without having to build everything from scratch, developers could spend more time innovating and less time on the building blocks. By eliminating all that busywork, hundreds of thousands of projects were able to be more creative and reduce their time to market.

The main takeaway here is that open-source does not decimate business models. It's not out to conquer or "disrupt" anybody out of business. On the contrary, it often unlocks new value in existing industries and drives innovation.

And that innovation can come from anyone, from an individual working alone to a global enterprise investing massive budgets to build marketable products based on open-source code.

The transformative power of open-source in travel

A significant portion of the travel industry is built on a foundation of closed source ecosystems. These are often marketplaces, in which suppliers and buyers have few options and must pay an intermediary to connect with each other. It's the gated access to the marketplace that creates value for the enterprise. And the better companies are at building closed ecosystems that lock customers and users in, the more money they make.

This is the “power of the platform,” where market participants become inextricably reliant on the platform — and have few alternatives.

Open-source offers an alternative to monetizing closed ecosystems. Instead of a gated ecosystem that makes money by charging access, open-source models make money when they provide actual value to users. And, since anyone can build on an open-source platform, it levels the playing field. And we all know that travel hasn’t had the levellest playing field over the years. It often seems like we’re too busy protecting the status quo and not building for the future.

With open-source, the focus is on providing value to all stakeholders. Self-interest must be balanced with value creation. That’s how you build a true innovation ecosystem that expands the pie for everyone — including enterprises, who can choose to compete on the open-source playing field too.

Open-source empowers developers with the tools they need to build big ideas and create new things. Once you add the lower cost, greater scalability, and faster speed to the innovation side of the equation, open-source can be a transformative force in any industry — but especially in travel, where innovation has been slower than most of us would like.

Free and open to all, innovation reigns. We believe it — and set out to prove that it will work in travel just as well as anywhere else.

Get set up on Winding Tree during our live workshop on July 13. [Register here.](#)

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